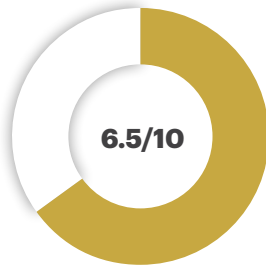


DECODING CORPORATE DISCLOSURES

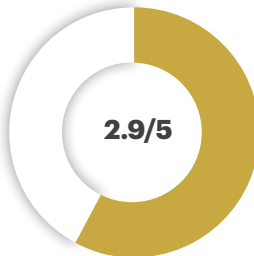
➤ As per India Disclosure Index by FTI Consulting, the average corporate disclosure score was 6.5 out of 10

➤ Only 9 of the Top 100 Indian companies were classified as corporate disclosure champions

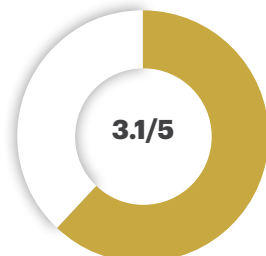
DISCLOSURE SCORE



Leadership and Governance Quality



Risk Disclosure Quality



23,922

No. of differently abled employees in the Top 100 companies



Only 38 per cent of companies had at least 20 per cent women's participation in the workforce

CYBER RISK

48% 

of the Top 100 Indian companies do not undertake regular cyber audits or training to build resilience

CLIMATE RISK

44% 

do not provide adequate information on climate risk mitigation plans

WHISTLE-BLOWING

48% 

do not provide anonymous whistle-blowing mechanism or metrics

nies have to furnish BRSR reports. Another issue that companies still require more work on is compensation. There has to be more disclosure and granularity in the disclosure on compensation to executive directors," says Subramanian.

For Tandon, a key issue IiAS has been raising is compensation levels of top management. "Promoters should not be able to vote on their own salary. As a general rule, compensation levels should be related to the performance of the company—this link is often broken," he says.

According to Vijay of Corporate Professionals, gender and ethnic diversity on boards, ethical practices, and whistle-blower protection are other important aspects that need attention and improvement. "Companies will be called upon to adopt an inclusive approach that takes

the community, its customers, its employees and its suppliers into consideration when developing the company strategy," he underlines.

Taking up the issue of succession planning in private banks, RBI has recently advised them to ensure the presence of at least two whole-time directors, including the MD & CEO, on their boards. Meanwhile, Irdai had in June issued guidelines on remuneration of the key managerial personnel in private insurance firms, which was earlier only for top brass such as the MD & CEO and whole-time directors.

While the jury may be out on the extent to which listed firms follow corporate governance norms in letter and spirit, there is agreement that better governed firms tend to see better performance in the market. "But it is difficult to differen-

tiate as to what extent the better market performance of a company is due to governance and to what extent it is due to other factors," says a senior market expert.

This was also highlighted by the Corporate Governance Score 2022 by IiAS, which said that its assessment shows that well-governed companies (with a score of 60 or more) continue to show better price performance and lower stock beta at a portfolio level. "A few exceptions aside, markets generally reward well-governed companies," it wrote.

What this means is that despite short-term pain in meeting these norms, companies can gain in the long term by adhering to corporate governance norms. **BT**

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